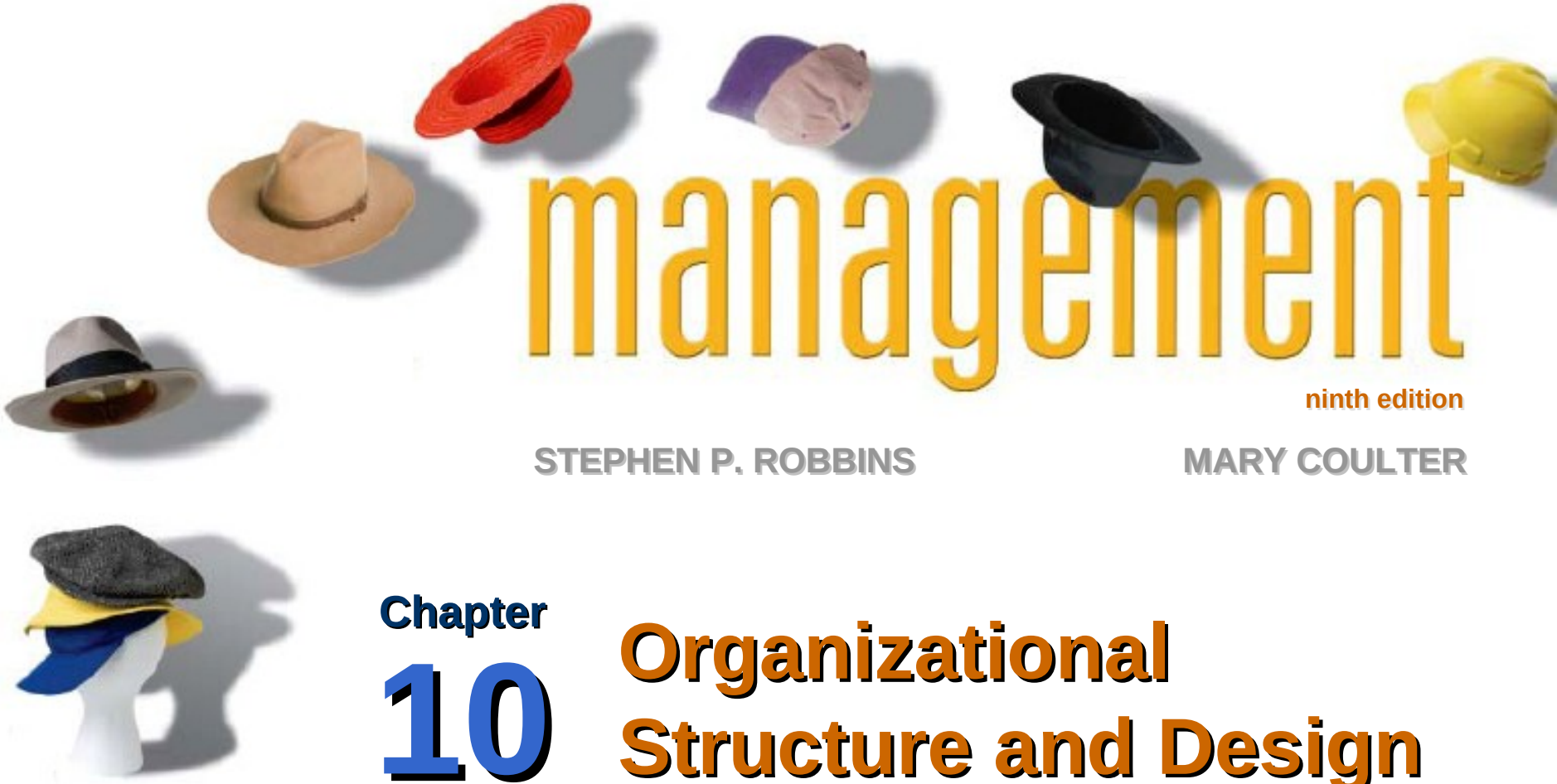

# management

ninth edition

STEPHEN P. ROBBINS MARY COULTER

Chapter

# 10 Organizational Structure and Design

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The University of West Alabama

# LEARNING OUTLINE

*Follow this Learning Outline as you read and study this chapter.*

## Defining Organizational Structure

- Discuss the traditional and contemporary views of work specialization, chain of command, and span of control.
- Describe each of the five forms of departmentalization.
- Explain cross-functional teams.
- Differentiate, authority, responsibility, and unity of command.
- Tell what factors influence the amount of centralization and decentralization.
- Explain how formalization is used in organizational design.

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# L E A R N I N G  O U T L I N E (cont'd)

*Follow this Learning Outline as you read and study this chapter.*

## Organizational Design Decisions

- Contrast mechanistic and organic organizations.
- Explain the relationship between strategy and structure.
- Tell how organizational size affects organizational design.
- Discuss Woodward's findings on the relationship of technology and structure.
- Explain how environmental uncertainty affects organizational design.

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# LEARNING OUTLINE (cont'd)

*Follow this Learning Outline as you read and study this chapter.*

## Common Organizational Designs

- Contrast the three traditional organizational designs.
- Explain team, matrix, and project structures.
- Describe the design of virtual and network organizations.
- Discuss the organizational design challenges facing managers today.

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# Defining Organizational Structure

- Organizational Structure
  - The formal arrangement of jobs within an organization.
  - Rules and regulations, how jobs are defined, and an authority chain of command.
  - Example:

CEO

↓

VP of Marketing

↓

Marketing Manager

↓

Marketing Team Members

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# 1. Traditional Hierarchical Structure

- Functional departments
- Set of formal rules
- Clear chain of command
- Top-down decision-making

```
                    CEO
                     |
        ---------------------------------
        |                |                |
VP Operations     VP Marketing     VP Finance
        |                |                |
     Managers         Managers         Managers
        |                |                |
    Employees        Employees        Employees
```

# 2. ING's (Dutch banking firm ) Free-Form Structure

```
                    CEO
                     |
        -----------------------
        |          |          |
      Squad      Squad      Squad
       1          2          3
(9 people) (9 people) (9 people)
        |          |          |
Cross-functional autonomous teams
(Handle end-to-end customer responsibilities)
```

- Flat hierarchy
- Minimizes the number of managers
- Relies on small teams to get the work done
- ING has replaced its functional departments with 350 nine-person autonomous teams
- End-to-end responsibility for handling clients' needs

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# Cont…….

- The company credits this new structure with improved response speed, increased employee engagement, and higher productivity.

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# SIX elements of organizational design

## Organizational Design:

"Creating or changing an organization's structure"

- A process involving decisions about six key elements:
  - Work specialization
  - Departmentalization
  - Chain of command
  - Span of control
  - Centralization and decentralization
  - Formalization

## Organizational chart:

"The visual representation of an organization's structure"

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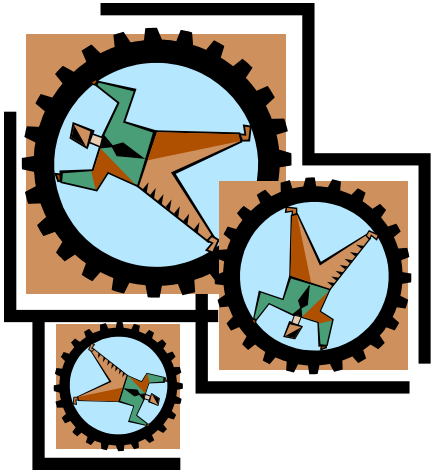
# Organizational Structure

- Work Specialization (*division of labor*)

"Dividing work activities into separate job tasks"

➢ The degree to which tasks in the organization are divided into separate jobs. The essence of work specialization is to divide a job into several steps, each completed by a separate individual.



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# What is Specialization?

- **Specialization** means dividing work into smaller tasks and assigning each task to the person best suited to do it.

**Why It's Useful:**

- Employees focus on **one specific task**, so they get **faster and better at it** through **practice**.
- Less time is wasted switching between tasks or tools.
- People use their **skills more efficiently** — skilled workers do complex tasks, and simpler tasks are handled by others.
- This helps the company **save money** and **increase productivity**.

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# Henry Ford's Assembly Line (Early 20th Century)

## Before Ford: Traditional Car Production

- 👷 Skilled workers built entire cars
- 🕒 Time-consuming and expensive
- 🛠️ Custom-built, low output
- 🔧 **Ford's Innovation: The Assembly Line**
- ➡️ Work Breakdown Example:
- Every worker was assigned a specific repetitive task, such as putting on the right front wheel or installing the left front door.
- Instead of one person doing everything, each person does **one job repeatedly**, becoming more **efficient**.

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**Result:**

Ford was able to produce a car every ten seconds, using employees with relatively limited skills.

- 🚘 Cars became **affordable to the average person**
- 📈 Ford became **extremely wealthy**

🏭 Revolutionized **manufacturing worldwide.**

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## Exhibit 10–1 Purposes of Organizing

- Divides work to be done into specific jobs and departments.
- Assigns tasks and responsibilities associated with individual jobs.
- Coordinates diverse organizational tasks.
- Clusters jobs into units.
- Establishes relationships among individuals, groups, and departments.
- Establishes formal lines of authority.
- Allocates and deploys organizational resources.

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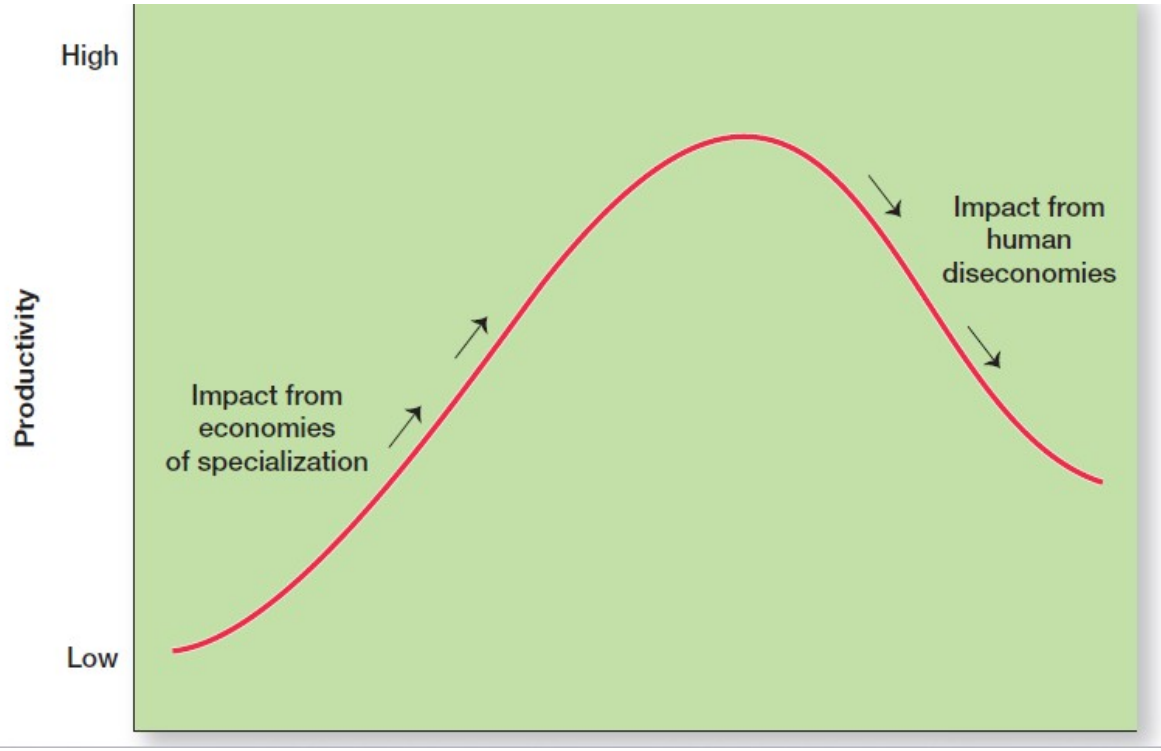
## Economies and Diseconomies of Work Specialization

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# Departmentalization

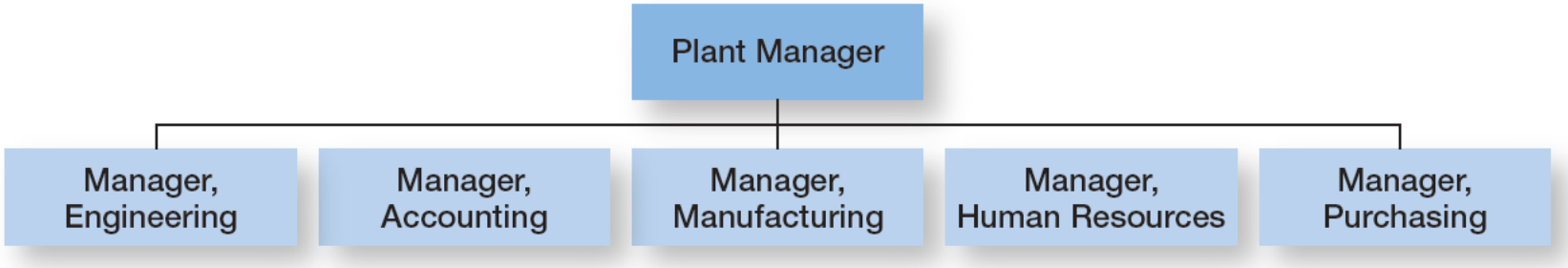
"The basis by which jobs are grouped together."

## Departmentalization by Type

- **Functional**
  - Grouping jobs by functions performed
- **Product**
  - Grouping jobs by product line
- **Geographical**
  - Grouping jobs on the basis of territory or geography
- **Process**
  - Grouping jobs on the basis of product or customer flow
- **Customer**
  - Grouping jobs by type of customer and needs

# Exhibit 10–2 Functional Departmentalization

**FUNCTIONAL DEPARTMENTALIZATION—Groups Jobs According to Function**




+ Efficiencies from putting together similar specialties and people with common skills, knowledge, and orientations
+ Coordination within functional area
+ In-depth specialization
– Poor communication across functional areas
– Limited view of organizational goals

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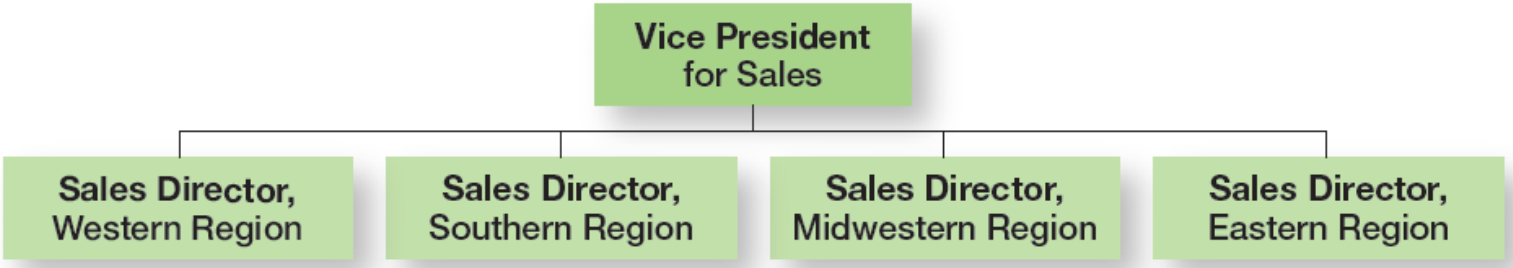
# Exhibit 10–2 (cont'd) Geographical Departmentalization

**GEOGRAPHICAL DEPARTMENTALIZATION—Groups Jobs According to Geographic Region**




- \+ More effective and efficient handling of specific regional issues that arise
- \+ Serve needs of unique geographic markets better
- – Duplication of functions
- – Can feel isolated from other organizational areas

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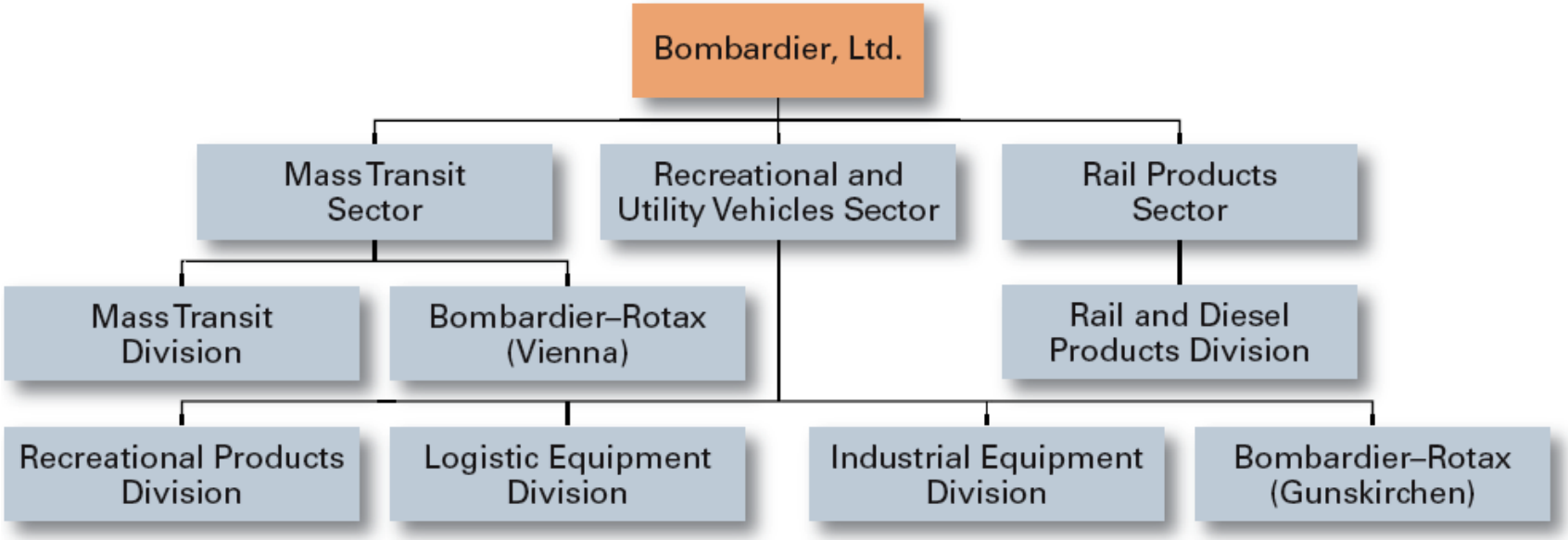
## Exhibit 10–2 (cont'd) Product Departmentalization




- + Allows specialization in particular products and services
- + Managers can become experts in their industry
- + Closer to customers
- – Duplication of functions
- – Limited view of organizational goals

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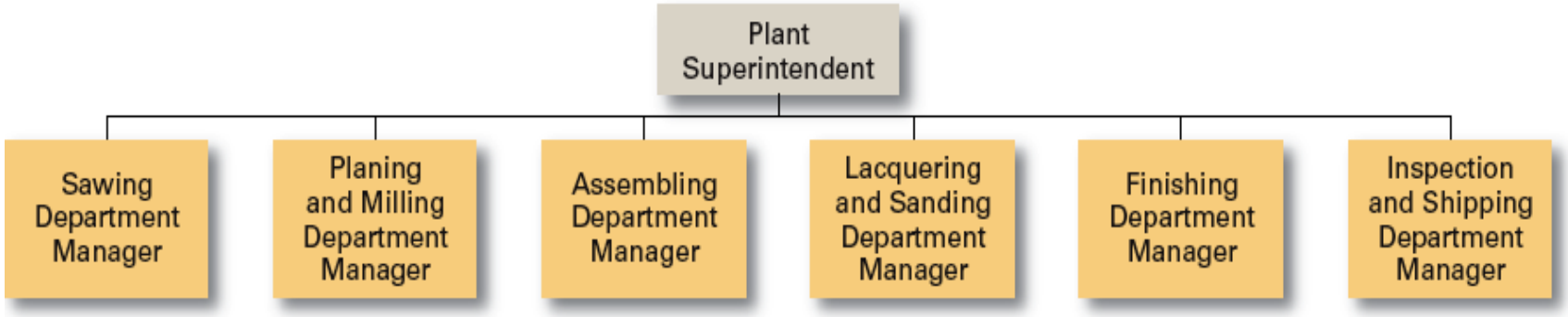
## Exhibit 10–2 (cont'd) Process Departmentalization




+ More efficient flow of work activities
– Can only be used with certain types of products

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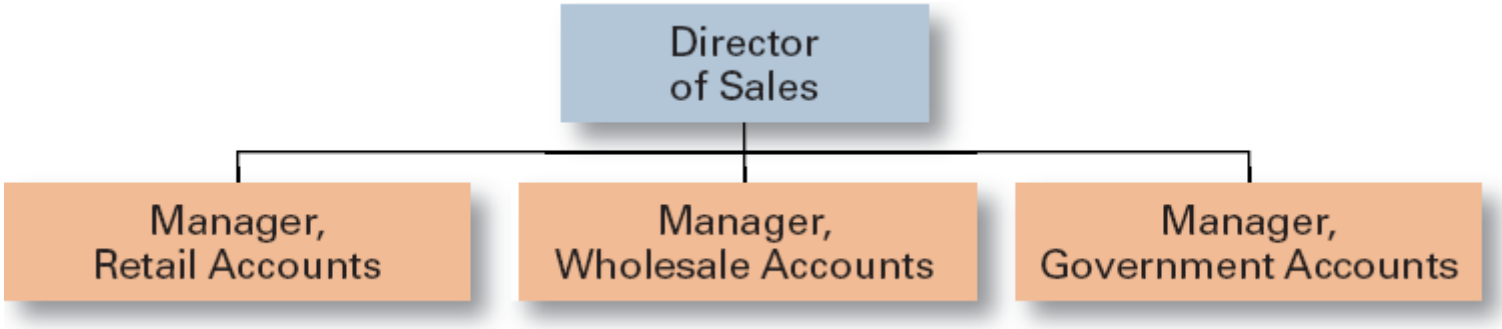
## Exhibit 10–2 (cont'd) Customer Departmentalization




**+ Customers' needs and problems can be met by specialists**

**- Duplication of functions**

**- Limited view of organizational goals**

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# Organization Structure (cont'd)

- Chain of Command
  - The continuous line of authority that extends from upper levels of an organization to the lowest levels of the organization and clarifies who reports to who.

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# Organization Structure (cont'd)

- Authority
  - The rights inherent in a managerial position to tell people what to do and to expect them to do it.
- Responsibility
  - The obligation or expectation to perform.
- Unity of Command
  - The concept that a person should have one boss and should report only to that person.
- Line authority
  - Authority that entitles a manager to direct the work of an employee

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# Organization Structure (cont'd)

- Span of Control
  - The number of employees who can be effectively and efficiently supervised by a manager.
  - Width of span is affected by:
    - Skills and abilities of the manager
    - Employee characteristics
    - Characteristics of the work being done
    - Similarity of tasks
    - Complexity of tasks
    - Physical proximity of subordinates
    - Standardization of tasks

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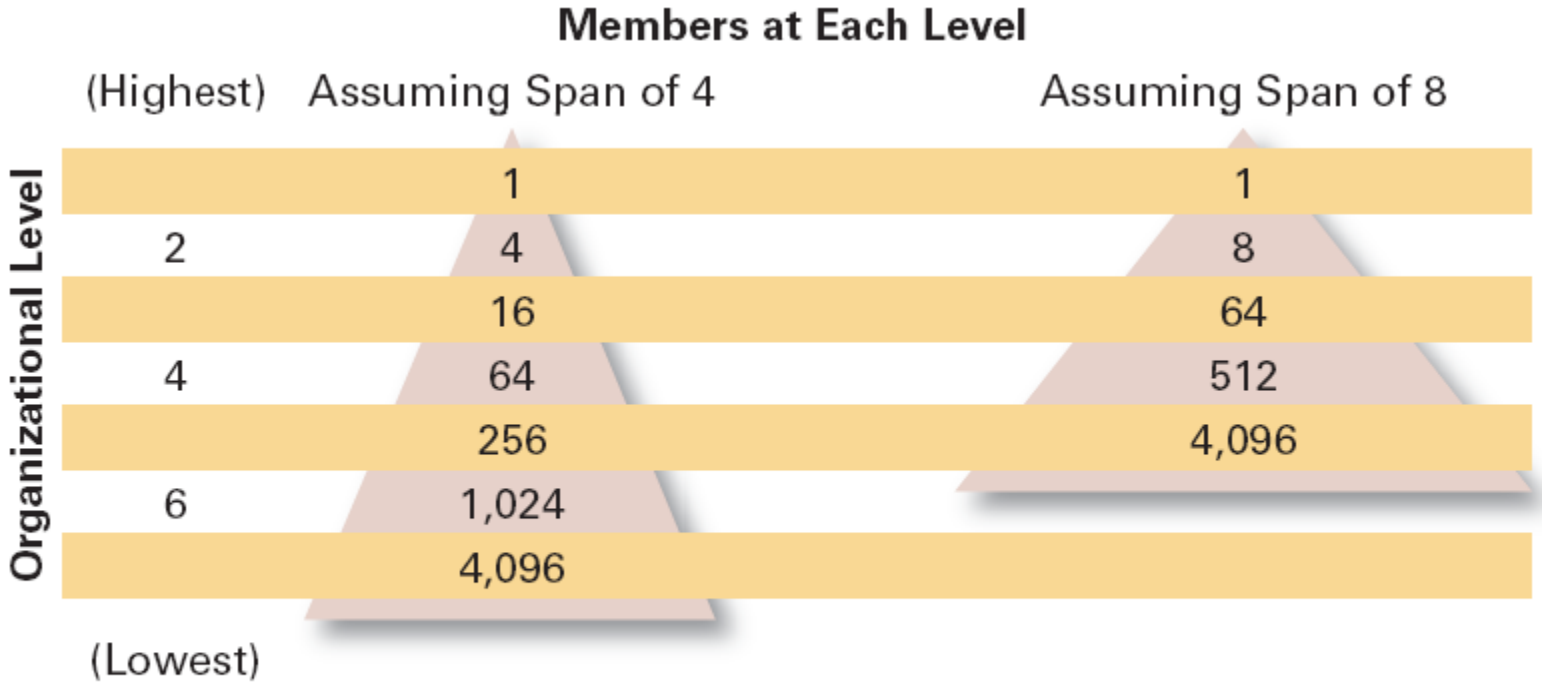
## Exhibit 10–3 Contrasting Spans of Control




Span of 4:
Employees: = 4,096
Managers (level 1–6) = 1,365

Span of 8:
Employees: = 4,096
Managers (level 1–4) = 585

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## Exhibit 11-4 Explanation

## This exhibit compares two organizational structures that both manage 4,096 employees, but with different spans of control:

| Organizational Level | Span of 4 | Span of 8 |
|---|---|---|
| 1 (Top-level manager) | 1 | 1 |
| 2 | 4 | 8 |
| 3 | 16 | 64 |
| 4 | 64 | 512 |
| 5 | 256 | 4,096 |
| 6 | 1,024 | - |
| 7 (Lowest level) | 4,096 | - |

**Cost Savings:**

- Each manager earns **$85,000 per year**.
- **780 managers × $85,000 = $66.3 million** saved annually (the text rounds this up to $68M).
- ✅ Result: **Massive cost efficiency** with wider span.

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# Organization Structure (cont'd)

- Centralization
  - The degree to which decision-making is concentrated at a single point in the organizations.
    - Organizations in which top managers make all the decisions and lower-level employees simply carry out those orders.
- Decentralization
  - Organizations in which decision-making is pushed down to the managers who are closest to the action.
- Employee Empowerment
  - Increasing the decision-making authority (power) of employees.

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## Exhibit 10–4 Factors that Influence the Amount of Centralization

| More Centralization | More Decentralization |
|---|---|
| • Environment is stable. | • Environment is complex, uncertain. |
| • Lower-level managers are not as capable or experienced at making decisions as upper-level managers. | • Lower-level managers are capable and experienced at making decisions. |
| • Lower-level managers do not want a say in decisions. | • Lower-level managers want a voice in decisions. |
| • Decisions are relatively minor. | • Decisions are significant. |
| • Organization is facing a crisis or the risk of company failure. | • Corporate culture is open to allowing managers a say in what happens. |
| • Company is small. | • Company is geographically dispersed. |
| • Effective implementation of company strategies depends on managers retaining say over what happens. | • Effective implementation of company strategies depends on managers having involvement and flexibility to make decisions. |

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# Organization Structure (cont'd)

- Formalization
  - The degree to which jobs within the organization are standardized and the extent to which employee behavior is guided by rules and procedures.
    - Highly formalized jobs offer little discretion over what is to be done.
    - Low formalization means fewer constraints on how employees do their work.

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# Organizational Design Decisions

- Mechanistic Organization
  - A rigid and tightly controlled structure
    - High specialization
    - Rigid departmentalization
    - Narrow spans of control
    - High formalization
    - Limited information network (downward)
    - Low decision participation
- Organic Organization
  - Highly flexible and adaptable structure
    - Non-standardized jobs
    - Fluid team-based structure
    - Little direct supervision
    - Minimal formal rules
    - Open communication network
    - Empowered employees

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**Example: Google (R&D Division)**

Google's Research & Development (R&D) division is a great example of an **organic organization** because:

- **Flexible & Adaptable Structure:** Teams can quickly reorganize when a new project idea emerges.
- **Non-standardized Jobs:** A software engineer may do coding, testing, brainstorming, and even product design.
- **Fluid Team-based Work:** Employees work in **cross-functional teams** (engineers, designers, marketers) to develop products like Gmail or Google Maps.
- **Little Direct Supervision:** Managers act as facilitators instead of micromanagers; employees self-manage tasks.
- **Minimal Formal Rules:** Innovation is encouraged, so there are no rigid step-by-step instructions for creativity.
- **Open Communication:** Employees can directly share ideas across levels—even junior engineers can pitch to senior leaders.
- **Empowered Employees:** Workers are given autonomy to experiment (like the famous **"20% rule"** where employees spend part of their time on personal innovation projects).

📌 **Result:** Products like **Gmail, Google News, and Google Maps** were born from this flexible, employee-driven structure.

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**Example: McDonald's (Global Operations)**

McDonald's is a **mechanistic organization** because:

- **Rigid and Tightly Controlled Structure:** Every restaurant follows the same global operating model.
- **High Specialization:** Roles are narrowly defined (cashier, fry cook, burger assembler).
- **Rigid Departmentalization:** Kitchen, counter, and management are clearly separated.
- **Narrow Span of Control:** Supervisors closely monitor employees to ensure standards are followed.
- **High Formalization:** Detailed Standard Operating Procedures (SOPs) govern how food is cooked, served, and packaged.
- **Limited Communication Network (Downward):** Instructions come from corporate HQ and managers; employees mainly follow orders.
- **Low Decision Participation:** Individual employees cannot change menus or policies—they must strictly follow the system.

📌 **Result:** McDonald's achieves **efficiency, consistency, and quality control** worldwide—customers get the same Big Mac whether they're in New York, Paris, or Karachi.

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## Exhibit 10–5 Mechanistic versus Organic Organization

| Mechanistic | Organic |
| --- | --- |
| • High specialization | • Cross-functional teams |
| • Rigid departmentalization | • Cross-hierarchical teams |
| • Clear chain of command | • Free flow of information |
| • Narrow spans of control | • Wide spans of control |
| • Centralization | • Decentralization |
| • High formalization | • Low formalization |

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# Contingency Factors

- Structural decisions are influenced by:
  - Overall strategy of the organization
    - Organizational structure follows strategy.
  - Size of the organization
    - Firms change from organic to mechanistic organizations as they grow in size.
  - Technology use by the organization
    - Firms adapt their structure to the technology they use.
  - Degree of environmental uncertainty
    - Dynamic environments require organic structures; mechanistic structures need stable environments.

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# Contingency Factors (cont'd)

- Strategy Frameworks:
  - Innovation
    - Pursuing competitive advantage through meaningful and unique innovations favors an organic structuring.
  - Cost minimization
    - Focusing on tightly controlling costs requires a mechanistic structure for the organization.
  - Imitation
    - Minimizing risks and maximizing profitability by copying market leaders requires both organic and mechanistic elements in the organization's structure.

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# Contingency Factors (cont'd)

- Strategy and Structure
  - Achievement of strategic goals is facilitated by changes in organizational structure that accommodate and support change.
- Size and Structure
  - As an organization grows larger, its structure tends to change from organic to mechanistic with increased specialization, departmentalization, centralization, and rules and regulations.

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# Contingency Factors (cont'd)

- Technology and Structure
- Every organization uses **technology** to convert **inputs** → **outputs** (e.g., raw material → finished goods).
- The **type of technology** influences the **organizational structure** (mechanistic vs organic).
- 👉 In short: **Routine technology = mechanistic structure**
  **Non-routine/complex technology = organic structure**

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## Joan Woodward's Research

Joan Woodward studied manufacturing firms and found that the type of production technology determines the most effective structure.

**Categories of Technology:**

**1.Unit Production**

1. Produces items in **small batches or single units**.
2. Non-routine, customized work → needs **organic structure**.

**2.Mass Production**

1. Produces **large batches of standardized products**.
2. Routine, repetitive work → needs **mechanistic structure**.

**3.Process Production**

1. Continuous, highly technical processes.
2. Very complex technology → often **mechanistic at the technical level**, but requires **organic coordination** to handle problems.

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## Exhibit 10–6 Woodward's Findings on Technology, Structure, and Effectiveness

| | Unit Production | Mass Production | Process Production |
|---|---|---|---|
| Structural characteristics | Low vertical differentiation<br>Low horizontal differentiation<br>Low formalization | Moderate vertical differentiation<br>High horizontal differentiation<br>High formalization | High vertical differentiation<br>Low horizontal differentiation<br>Low formalization |
| Most effective structure | Organic | Mechanistic | Organic |

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# Contingency Factors (cont'd)

- Environmental Uncertainty and Structure
  - Mechanistic organizational structures tend to be most effective in stable and simple environments.
  - The flexibility of organic organizational structures is better suited for dynamic and complex environments.

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# Common Organizational Designs

- Traditional Designs
  - Simple structure
    - Low departmentalization, wide spans of control, centralized authority, little formalization
  - Functional structure
    - Departmentalization by function
      - Operations, finance, human resources, and product research and development
  - Divisional structure
    - Composed of separate business units or divisions with limited autonomy under the coordination and control the parent corporation.

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## Exhibit 10–7 Strengths and Weaknesses of Traditional Organizational Designs

**Simple Structure**

Strengths: Fast; flexible; inexpensive to maintain; clear accountability.
Weaknesses: Not appropriate as organization grows; reliance on one person is risky.

**Functional Structure**

Strengths: Cost-saving advantages from specialization (economies of scale, minimal duplication of people and equipment) and employees are grouped with others who have similar tasks.
Weaknesses: Pursuit of functional goals can cause managers to lose sight of what's best for overall organization; functional specialists become insulated and have little understanding of what other units are doing.

**Divisional Structure**

Strengths: Focuses on results—division managers are responsible for what happens to their products and services.
Weaknesses: Duplication of activities and resources increases costs and reduces efficiency.

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## Exhibit 10–8 Contemporary Organizational Designs

### Team Structure

| | |
|---|---|
| • What it is: | A structure in which the entire organization is made up of work groups or teams. |
| • Advantages: | Employees are more involved and empowered. Reduced barriers among functional areas. |
| • Disadvantages: | No clear chain of command. Pressure on teams to perform. |

### Matrix-Project Structure

| | |
|---|---|
| What it is: | A structure that assigns specialists from different functional areas to work on projects but who return to their areas when the project is completed. Project is a structure in which employees continuously work on projects. As one project is completed, employees move on to the next project. |
| • Advantages: | Fluid and flexible design that can respond to environmental changes. Faster decision making. |
| • Disadvantages: | Complexity of assigning people to projects. Task and personality conflicts. |

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## Exhibit 10–8 (cont'd) Contemporary Organizational Designs

### Boundaryless Structure

| | |
|---|---|
| What it is: | A structure that is not defined by or limited to artificial horizontal, vertical, or external boundaries; includes virtual and network types of organizations. |
| • Advantages: | Highly flexible and responsive. Draws on talent wherever it's found.. |
| • Disadvantages: | Lack of control. Communication difficulties.. |

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# Organizational Designs (cont'd)

- Contemporary Organizational Designs
  - Team structures
    - The entire organization is made up of work groups or self-managed teams of empowered employees.
  - Matrix and project structures
    - Specialists from different functional departments are assigned to work on projects led by project managers.
    - Matrix and project participants have two managers.
    - In project structures, employees work continuously on projects; moving on to another project as each project is completed.

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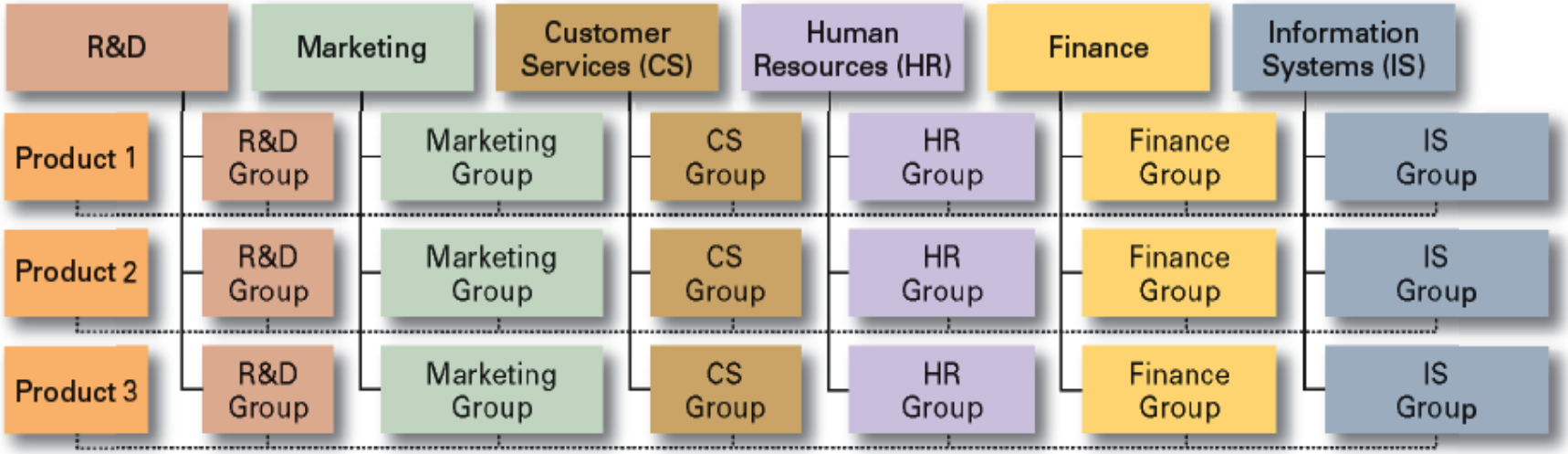
# Exhibit 10–9 An Example of a Matrix Organization

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# Example:

**Real-World Example:**

Let’s say a **tech company** develops three main software products:

•Product 1: A messaging app

•Product 2: A cloud storage service

•Product 3: A project management tool

Now, each product needs help from multiple departments. For instance:

**For Product 1 (Messaging App):**

•R&D Group: Develops new features like video calling.

•Marketing Group: Runs ad campaigns targeting students.

•CS Group: Handles support tickets for login issues.

•HR Group: Hires more developers for this product.

•Finance Group: Tracks budgets, revenue, and costs for the app.

•IS Group: Ensures the app’s infrastructure runs smoothly.

Each **functional group** focuses on Product 1, while similar groups focus on **Product 2** and **Product 3**.

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# Organizational Designs (cont'd)

- Contemporary Organizational Designs (cont'd)
  - Boundaryless Organization
    - An flexible and unstructured organizational design that is intended to break down external barriers between the organization and its customers and suppliers.
    - Removes internal (horizontal) boundaries:
      - Eliminates the chain of command
      - Has limitless spans of control
      - Uses empowered teams rather than departments
    - Eliminates external boundaries:
      - Uses virtual, network, and modular organizational structures to get closer to stakeholders.

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# Removing External Boundaries

- **Virtual Organization**
  - An organization that consists of a small core of full-time employees and that temporarily hires specialists to work on opportunities that arise.
- **Network Organization**
  - A small core organization that outsources its major business functions (e.g., manufacturing) in order to concentrate what it does best.
- **Modular Organization**
  - A manufacturing organization that uses outside suppliers to provide product components for its final assembly operations.

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# Today's Organizational Design Challenges

- Keeping Employees Connected
  - Widely dispersed and mobile employees
- Building a Learning Organization
- Managing Global Structural Issues
  - Cultural implications of design elements

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# Organizational Designs (cont'd)

- The Learning Organization
  - An organization that has developed the capacity to continuously learn, adapt, and change through the practice of knowledge management by employees.
  - Characteristics of a learning organization:
    - An open team-based organization design that empowers employees
    - Extensive and open information sharing
    - Leadership that provides a shared vision of the organization's future, support and encouragement
    - A strong culture of shared values, trust, openness, and a sense of community.

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# Terms to Know

- organizing
- organizational structure
- organizational design
- work specialization
- departmentalization
- functional departmentalization
- product departmentalization
- geographical departmentalization
- process departmentalization
- customer departmentalization
- cross-functional teams
- chain of command
- authority
- responsibility
- unity of command
- span of control
- centralization
- decentralization
- employee empowerment
- formalization
- mechanistic organization
- organic organization
- unit production
- mass production
- process production
- simple structure
- functional structure

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# Terms to Know

- divisional structure
- team structure
- matrix structure
- project structure
- boundaryless organization
- virtual organization
- network organization
- learning organization
- organizational chart

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